

ENTREPRENEURSHIP & BUSINESS DESIGN

B.Tech. CSE. III Year. I Semester D - section (9ZC10) Unit – IV

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Syllabus (Unit -4)

UNIT-IV. Designing Services and Services Delivery: Services as solutions, Service delivery pathways, rapid branding and marketing strategies, key metrics for Design thinking. Types of New services, Mix of core services and secondary and enhancing services, service flower and service design matrix.

Essential Readings:

- (1). **Adrian McEwen, Hakim Cassimally — “Designing the Internet of Things”, Wiley Publications, 2012.**
- (2). **Hedniaii, J., & Kalling, T. (2003). The business model concept: theoretical underpinnings and empirical illustrations. *European journal of information systems*, 12(1), 49-59.**
- (3). **Cabrera, j. (2017). *Modular Design Frameworks: A Projects-based Guide for UI/UX Designers*. A press.**

Reference Books:

1. J. Chris Leach & Ronald W. Melicher “Entrepreneurial Finance, Fourth Edition”, South Western, Cengage Learning, 2012.
2. Robert D. Hisrich & Veland Ramadani — “Effective Entrepreneurial Management, Strategy, Planning, Risk Management, and Organization”, Springer, 2017.
- 3, Mmhluni, A. R. (2017). *Extruding the TILES Toolkit- from fication to Pi'ololying* (Master's thesis, NTNU).
4. Norman. D. (2013). *They design obeye yJnJ' things. Rrvised mJ expanded edition.*

Unit – IV: DESIGNING SERVICES AND SERVICES DELIVERY

Contents:

1. Services as Solution
2. Service delivery pathways
3. Rapid branding and marketing strategies
4. Key metrics for design thinking
5. Types of new services
6. Mix of core service and secondary and enhancing services
7. Service flow and service design matrix

1. Services as Solution

1. SERVICE as a SOLUTION

A solution is an offering that aims to solve a common or specific problem with the application of a product/Service that is tailored to individual clients.

Definition: A service is an activity or benefit that one party can offer to another that is essentially **intangible** and does not result in the ownership of anything. Its production may or may not be tied to a physical product.

--PHILIP KOTLER

Characteristics of Services:

- ❖ Services are Intangible
- ❖ Services are variable
- ❖ Services are perishable
- ❖ Services are inseparable
- ❖ Services are hired and not owned

SERVICE as a SOLUTION

Software as Service

Software as a service is a **cloud computing service model** in which a provider delivers application software to clients while managing the required physical hardware and software on cloud.

Software as a Service, is a way to access software over the internet through a subscription, instead of buying and installing it on your own computer.

A provider hosts the software in the cloud and handles all the maintenance, updates, and infrastructure, allowing you to use it via a web browser or thin client without worrying about installations or management.

SERVICE as a SOLUTION

Examples of SaaS include services like **Netflix**, **Spotify**, and business applications for **accounting** or **project management**.

Netflix is an American subscription video on-demand over-the-top streaming service.

The service primarily distributes original and acquired films and television shows from various genres, and it is available internationally in multiple languages.

2. Service Delivery Pathways

2. SERVICE DELIVERY PATHWAYS

Service delivery is a business framework that **supplies services from a provider to a client.**

It also includes the constant interaction between the two parties during the duration of the time in which the provider supplies the service and the customer purchases it.

INDIVIDUAL TREATMENT:

This is the **most basic** service delivery method. It's usually for personal or individual services. For example, you will see it in the following cases:

- Walk into a store to buy something
- Call to inquire about the business
- Send emails or fill out contact forms on the website
- Visit a business location for one-on-one consultation or appointments
- Assisted by employees at the counter or by professionals in person, whether it is an office, hospital, school, factory, etc.

It is also known as direct consumer service delivery. Also, it aims to provide customers with an individualized experience. It is usually conducted by employees or professionals who are tasked to assist the customers.

Example: you visit a restaurant to have lunch. You are served by a waiter or waitress and get your food and drink directly from them. This is an individualized service delivery method.

GROUP TREATMENT:

This is also known as indirect **consumer service delivery**.

It's always conducted by employees or professionals.

However, they are usually not the ones who are directly serving the customer.

Instead, they are assigned to handle large groups of customers.

CO-TREATMENT:

This is the combination of individual treatment and group treatment. It's when customers are served by professionals who are working in teams.

Example: you visit a hospital to get medical attention or to seek professional advice. You will be attended to by medical personnel who will assess your condition and decide on the appropriate treatments for you.

Meanwhile, other medical staff will work with you in providing the most [comfortable](#) services for you. They might attend to your needs while you are waiting for your turn in the operating room or recovery room.

3. Rapid Branding and Marketing Strategies

3. RAPID BRANDING AND MARKETING STRATEGIES

A **BRAND STRATEGY** is the holistic approach behind how a brand builds identification and favorability with customers and potential customers.

A strong brand is critical for building connections with customers.

A successful brand strategy can help improve **loyalty**, **drive brand awareness**, **build repeat business**, and **inspire** word-of-mouth marketing and referrals.

Brands without effective brand strategies can become diluted, weak, or forgettable.

“Products are made in the factory, but brands are created in the mind.” – Walter Landor

Co-Branding

There's an age-old saying 'whole is bigger than parts', and that's the essence of co-branding. It is the partnership between two brands with a shared set of values.

Co-branding is an effective way to boost brand awareness and enter new markets – but only if you do it the right way.

A perfect example of co-branding is the partnership between Taco Bell & Doritos. The two joined hands and came up with 'Doritos Locos Tacos', and the campaign was a huge success!

Co-Branding

Dell computers and Sony computers co-branding:

Sony Dell Computers will emerge as top leading computer sales in the world.

"Intel Inside" (Ingredient Co-branding)

The "Intel Inside" campaign is perhaps the most well-known example of co-branding in the computer industry.

- Partnership: Intel (processor manufacturer) and various computer manufacturers (e.g., **Dell, HP, Lenovo, Acer, Asus**).

Product Branding:

Product branding involves a clever amalgamation of design, experience, messaging, and tactics that helps in creating a unique identity of a product, attracting consumers, and encouraging them to come back.

Example. When we hear the phrase '**Taste The Feeling**', we immediately think of **Coca-Cola**.

Similarly, when we hear '**Just Do It**', we think of **Nike**.

Cultural & Geographic Branding:

Even though cultural and geographic branding is extremely evident in tourism and tourism-related businesses, they can be used by any business that wants to emphasize its region of origin.

Geographic branding aims to attract people to use a product/service because of its geographic association. Cultural branding is quite similar, but it focuses on cultural aspects of the region instead of geographic ones.

Think of the Eiffel Tower. It's instantly recognizable as a French national icon, right? Many businesses use the image of the Eiffel Tower to show themselves as Parisian. That's geographic branding.

Similarly, a tea company that ships teas from India to other parts of the world might leverage some cultural branding. They can use the Indian flag's color in their logo.

Corporate Branding:

Corporate branding helps you build a long-term connection with customers, and every time you offer something new, it is easier for them to associate with you.

EX: Apple has built such a strong brand that people stand in long queues to buy their products when they are released. People are willing to buy an Apple product just because it's an Apple product.

There's a reason behind it, and it has a lot to do with corporate branding. In this branding strategy, instead of marketing a single product, you invest in your brand as a whole.

Personal Branding:

Personal branding is just important for an individual.

Building a personal brand is not very different from building a business brand. Instead of marketing a product or a business, you have to market yourself.

For example, think of Oprah Winfrey or Elon Musk. Both of them have a clear personal brand that's globally recognized. Everyone knows Oprah as a kind-hearted woman and Musk is a tech pioneer.

Personal branding gives you a chance to show the public who you are, what you stand for, and how you are different from others in the field.

It really opens many doors for you in the future.

3.b. MARKETING STRATEGIES

service firms think of [marketing strategies](#), they usually consider outbound and direct techniques i.e. messages that are sent straight to your prospective customers and clients. The goal, in this approach, is to be persuasive and compelling so that your audience responds to and engages with the service offered.

Niche strategy

One of the most important business considerations for service marketing is [niche targeting and specialization](#). Research has shown that some of the fastest growing service firms are specialists in a carefully selected niche. The niche must be a sector of the industry which you thoroughly understand, a space where you can [become an undisputed leader and expert](#).

High performance website

In the professional service marketplace today, your company's website will be one of the most important asset. It's more than just a digital billboard, as many companies believed in the past. A good website is at the center of a service firm's online presence as well as an info-rich projection of your expertise in the marketplace.

Social media

If you require more evidence about the relevance of social media for professional services, here's some info. More than 60% of all buyers check new service providers over the social media which makes it one of the commonest used information sources than formal recommendations or referrals.

Referral service marketing

Referral marketing is a word-of-mouth initiative designed by a company to incentivize existing customers to introduce their family, friends and contacts to become new customers

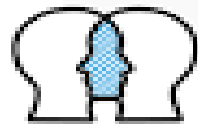
4. Key Metrics for Design Thinking

4. KEY METRICS FOR DESIGN THINKING

Design thinking is a **process for solving problems by prioritizing the consumer's needs above all else**. It relies on observing, with empathy, how people interact with their environments, and employs an iterative, hands-on approach to creating innovative solutions.

Process of DESIGN THINKING:

Design Thinking



Empathize



Define



Ideate



Prototype



Test

Interaction Design Foundation
interaction-design.org

1: Challenge Stage (Empathize and Define Steps)

During the Challenge Stage, participants would interview users, customers, or stakeholders and look for insights into the problem or challenge at hand.

Reaching out through several interviews can be useful, rather than focusing on one or two subjects — quantity over quality is often more substantial for developing analysis. Through these interviews, participants should be able to define the opportunities and the challenges to overcome.

Key Metric: number of interviews with target stakeholders

Key Metric: number of questions defined from empathy gaining activities

2: Ideation Stage (Ideate Step)

This second phase is all about developing that mindset to produce a greater quantity of ideas. During these professional brainstorming sessions, participants may be amazed to find that they can generate 100 ideas or more for the challenge they are working on. It may seem extreme, but it is possible and leads to plenty of raw and useful materials (or puzzle pieces as we sometimes think of them!) to work with.

Key Metric: number of ideas

3: Action Stage (Prototype and Test Steps)

During this last phase, participants will both prototype and test their solutions. You can measure these tests as they run to validate both the idea and the prototyped implementation of that idea.

Key Metric: number of prototypes

Key Metric: number of tests run of prototypes

5. Types of New Services

5. TYPES OF NEW SERVICES

Radical innovations

Service line extensions

Service improvements

Style changes

New services for the currently served market

Radical innovation is an invention that destroys or supplants an existing business model. Unlike architectural or incremental innovation, radical innovation blows up the existing system or process and replaces it with something entirely new.

Radical innovations allow organizations to achieve competitive advantage in the market, challenge the dominant position of leader companies, improve the image of the organization or increase consumer loyalty, among other benefits

Service extensions involve providing new services that are related to the company's existing products or services. For example, a company that sells mattresses could also provide customers with expert advice on how to make their homes more comfortable and energy-efficient.

Service improvement can be defined as 'the combined efforts of everyone to make changes, leading to better patient outcomes (health), better system performance (care) and better professional development (learning) regardless of the theoretical concept or tool utilised'

For example, routine continual service improvement processes identify that **an email server upgrade will increase the email service's availability and performance**

Style changes represent the simplest type of innovation, typically involving no changes in either processes or performance. However they are often highly visible, create excitement, and may serve to motivate employees.

New services for the currently served market: **represents attempts to offer existing customers of the organization a service not previously available from the company** (but could be already available at another company).

6. Mix of Core Services, Secondary, and Enhancing Services

6. MIX OF CORE SERVICES AND SECONDARY AND ENHANCING SERVICES

Core service

Central component that supplies the principal, problem-solving benefits customers seek

Secondary Services

Augment the core product, facilitating its use and enhancing its value and appeal

“Enhancing services are services that are added to a core service to make it more exciting or enticing to the customer. Enhancing services are not essential to the delivery of a core service and are added to a core service as 'excitement' factors, which will encourage customers to use the core service more.”

Core and Secondary services at LUXURY HOTEL



Enhancing services:

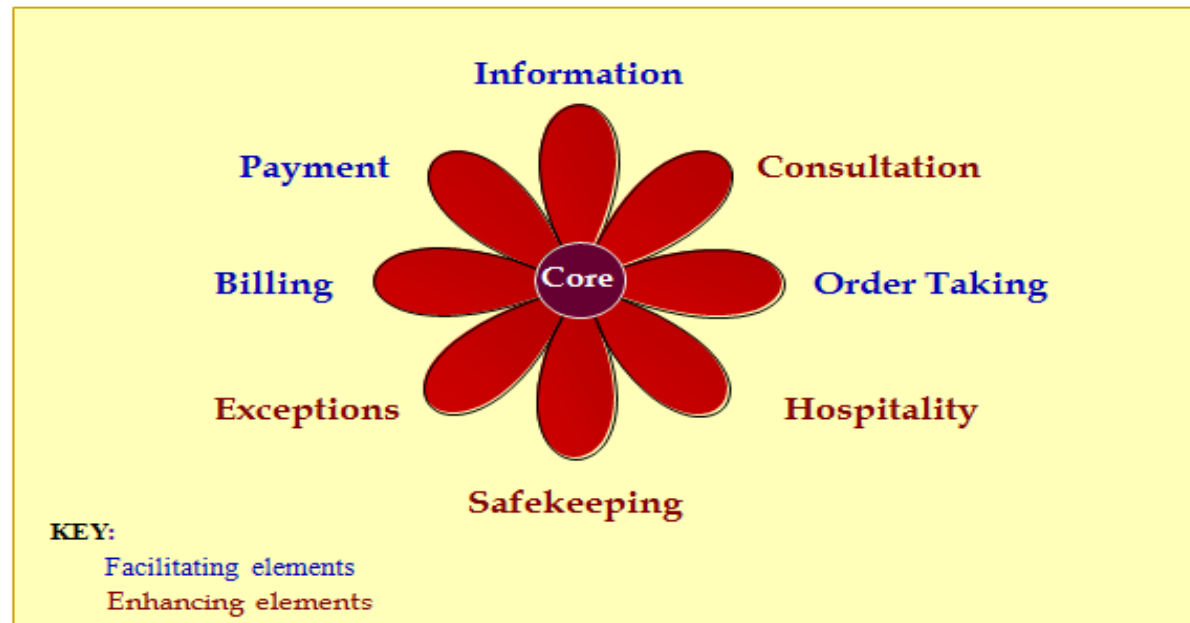
- Personalized Greetings.
- A Working Space.
- Pick and Drop Services.
- Event Management Facilities.
- Offer a Jogging Area.
- Free Traveling Options.
- Personal Gym Equipment.

7. Service Flower and Service Design Matrix

7. SERVICE FLOWER AND SERVICE DESIGN MATRIX

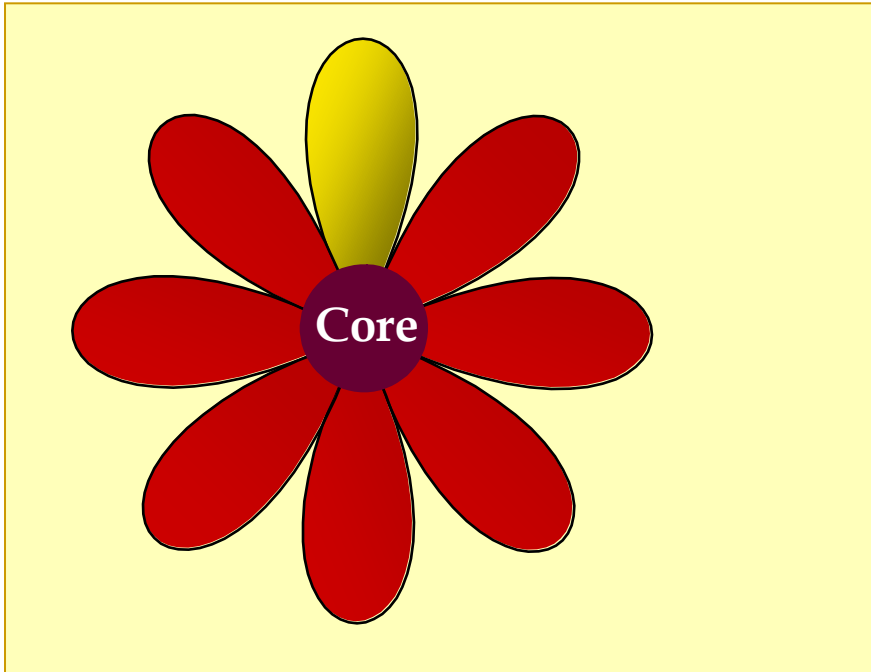
- The Flower of Service concept summarized **the interaction between supplementary services existing in the form of facilitating services and enhancing services within the core product.**

The Flower of Service



The Flower of Service:

Facilitating Services - Information



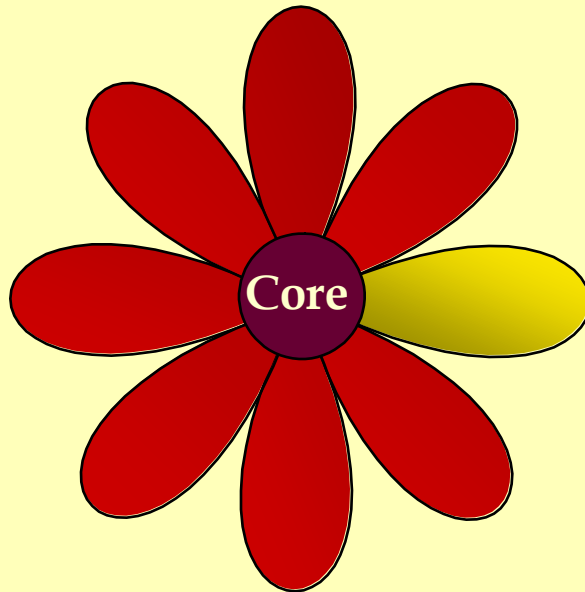
Customers often require information about how to obtain and use a product or service.

Examples of elements:

- **Directions to service site**
- **Schedule/service hours**
- **Prices**
- **Conditions of sale**
- **Usage instructions**

The Flower of Service:

Facilitating Services - Order Taking



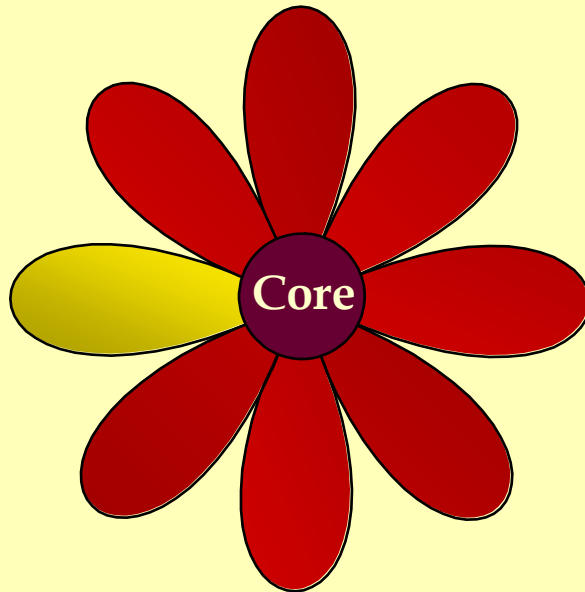
Customers need to know what is available and may want to secure commitment to delivery. The process should be fast and smooth.

Examples of elements:

- **Applications**
- **Order entry**
- **Reservations and check-in**

The Flower of Service:

Facilitating Services - **Billing**



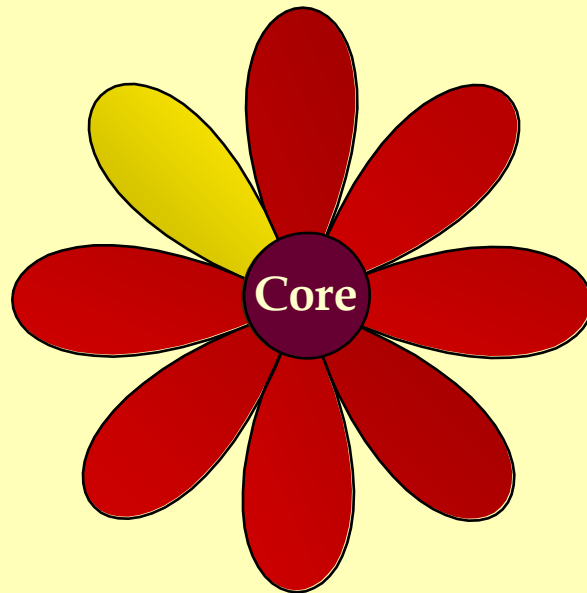
“How much do I owe you?”
Bills should be clear,
Accurate, and intelligible.

Examples of elements:

- **Periodic statements of account activity**
- **Machine display of amount due**

The Flower of Service:

Facilitating Services - **Payment**



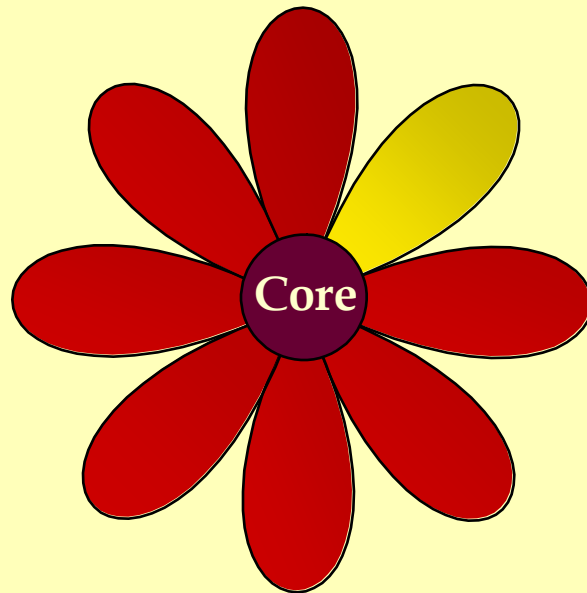
Customers may pay faster and more cheerfully if you make transactions simple and convenient for them.

Examples of elements:

- **Self service payment**
- **Direct to payee or intermediary**
- **Automatic deduction**

The Flower of Service:

Enhancing Services - Consultation



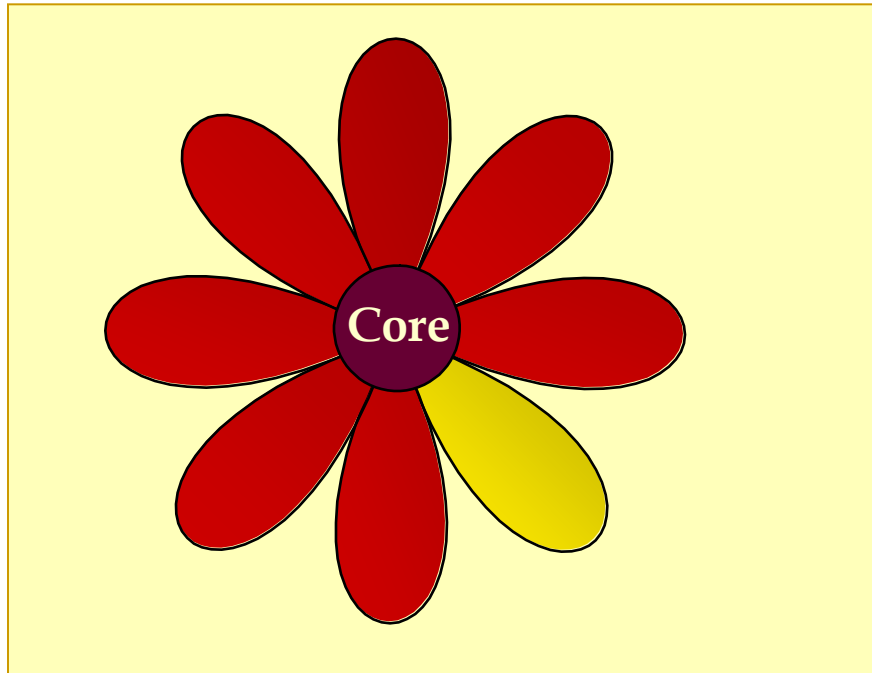
Value can be added to goods and services by offering advice and consultation tailored to each customer's needs and situation.

Examples of elements:

- Customized advice
- Personal counseling
- Management consulting

The Flower of Service:

Enhancing Services - Hospitality



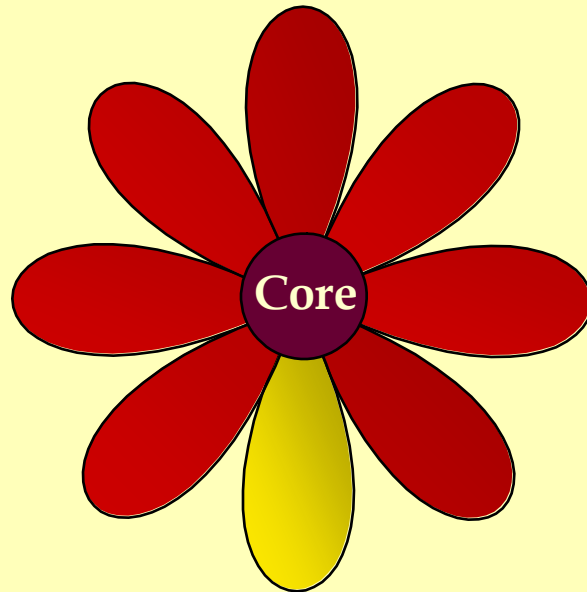
Customers who invest time and effort in visiting a business and using its services deserve to be treated as welcome guests—after all, marketing invited them!

Examples of elements:

- Greeting
- Waiting facilities and amenities
- Food and beverages
- Toilets and washrooms
- Security

The Flower of Service:

Enhancing Services - Safekeeping



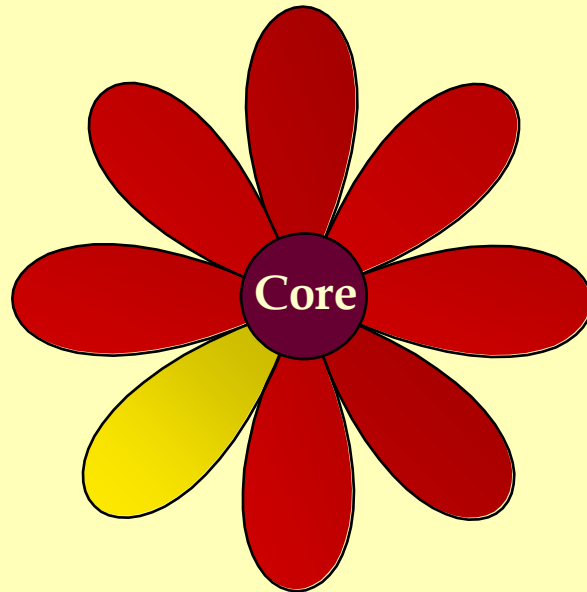
Customers prefer not to worry about looking after the personal possessions that they bring with them to a service site.

Examples of elements:

- **Looking after possessions customers bring with them**
- **Caring for goods purchased (or rented) by customers**

The Flower of Service:

Enhancing Services - Exceptions



Customers appreciate some flexibility when they make special requests and expect responsiveness when things don't go according to plan.

Examples of elements:

- Special requests in advance
- Complaints or compliments
- Problem solving
- Restitution

SERVICE DESIGN MATRIX

The Service-System Design Matrix **defines the relationship between the service delivery system, the degree of customer contact, the opportunity for sales and production efficiency.**

Service-System Design Matrix

- The Service-System Design Matrix is a useful tool for understanding the different elements of a service system.
- The matrix establishes the relationship between
 - three key factors of service and
 - how these factors relate to service production and delivery.

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2

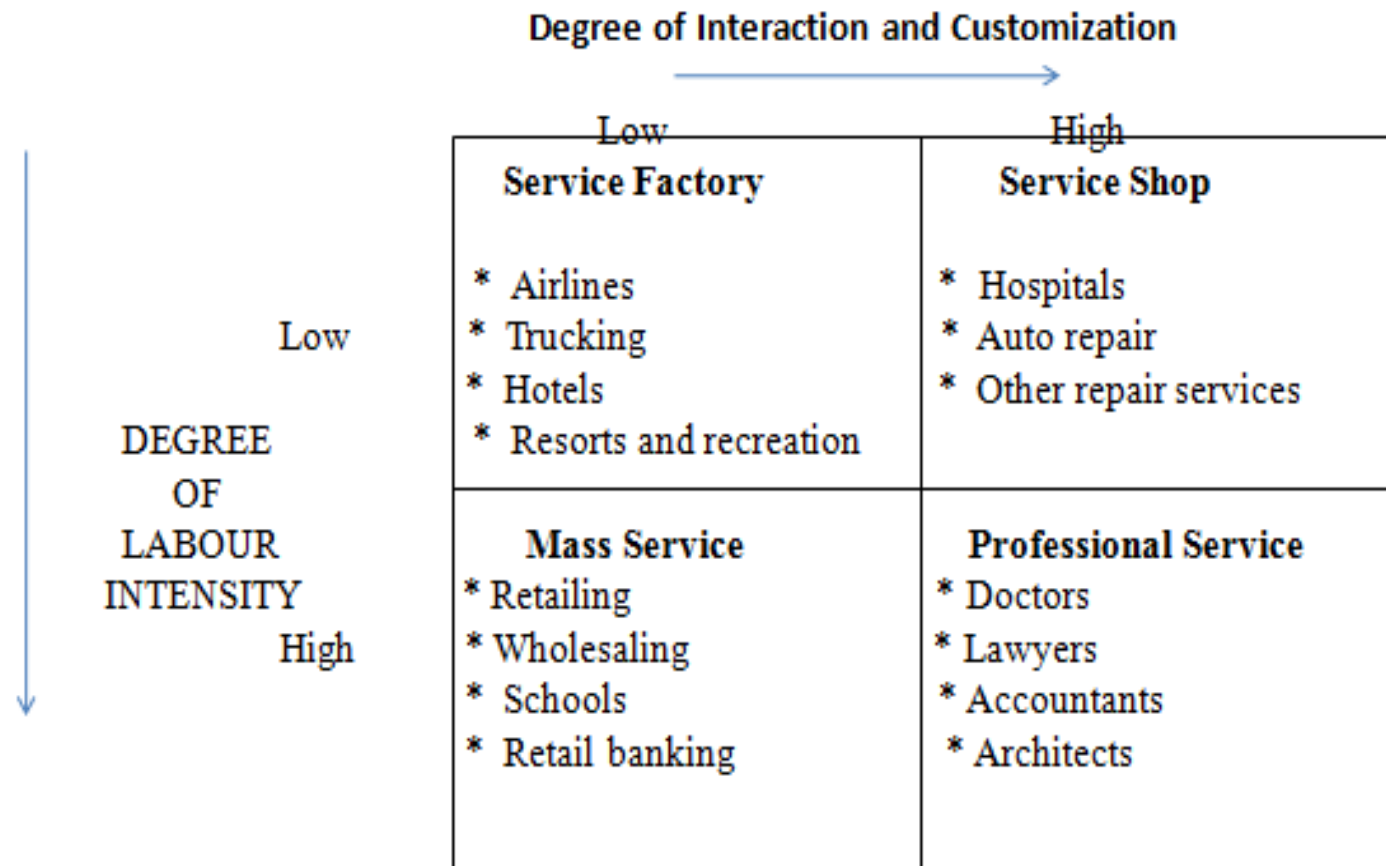
The Service Design Matrix

- The Service design matrix consists of
 - Degree of contact
 - between the consumer and the service provider.
 - Opportunity for sales
 - the greater the amount of contact;
 - the greater the sales opportunity;
 - Production efficiency
 - services that require a large amount of customization and customer input have lower efficiency

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3

SERVICE DESIGN MATRIX



The End of Unit - 4